



United States
Attorney's Office
Northern District of Ohio



Ohio Man Sentenced to Prison for Paycheck Protection Program Loan Fraud Totaling More Than \$2M

Wednesday, May 21, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of Ohio

TOLEDO, Ohio – An Ohio man has been sentenced to 27 months in prison for submitting false information to be eligible to receive Paycheck Protection Program (PPP) loans. Daniel R. Hitlan, 34, of Huron, Ohio, pleaded guilty to one count of bank fraud and one count of money laundering in February. U.S. District Court Judge Jeffrey J. Helmick imposed the sentence May 20. Hitlan was also ordered to pay \$2,744,013.33 in restitution and serve three years of supervised release after imprisonment.

Court documents show that in April and May of 2020, the defendant obtained three fraudulent PPP loans for small businesses that he owned. The PPP was meant to assist small businesses and was launched with the Coronavirus Aid, Relief and Economic Security (CARES) Act in 2020. The program provided eligible companies with much-needed financial support as businesses faced unprecedented challenges brought on by the COVID-19 pandemic. Hitlan admitted to creating fictitious payroll documents and forms to submit with PPP loan applications. Federal investigators further found that the information he submitted was not supported or found to be valid when crosschecked with IRS, state, and other records. The IRS showed no records of payroll, withholdings, or return filings for the entities he included in the loan applications.

According to the indictment, Hitlan used the fraudulently obtained loan proceeds to purchase multiple items for himself and others. Among his purchases were Rolex watches, a Cadillac Escalade, a vintage Chevrolet Corvette, and real estate.

This case was investigated by IRS-Criminal Investigations (CI) and the FBI Cleveland Division. The case was prosecuted by Assistant U.S. Attorney **Gene Crawford** for the Northern District of Ohio.

IRS-CI is the criminal investigative arm of the IRS, responsible for conducting financial crime investigations, including tax fraud, narcotics trafficking, money-laundering, public corruption, healthcare

fraud, identity theft and more. IRS-CI special agents are the only federal law enforcement agents with investigative jurisdiction over violations of the Internal Revenue Code, obtaining a 90% federal conviction rate. The agency has 20 field offices located across the U.S. and 14 attaché posts abroad.

Anyone with information about allegations of CARES Act fraud may submit a report with the Justice Department's National Center for Disaster Fraud Hotline at 866-720-5721 or online at www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form.

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Topic

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